RED FLAG REPORT · PRELIMINARY FINANCIAL DUE DILIGENCE

Corticeira Amorim

Published consolidated accounts FY23–FY25

Source: Relatório Anual 2025 (ESEF), consolidated statements and note 19

Preliminary: for an analyst to review. Not an opinion, not a view on price. Built with DD Assistant.

10 key issues; the largest is short-term debt concentration, €153,270k

#	Issue	Amount at stake	Deal implication (typical)	Evidence from the notes
1	R11 · Short-term debt concentration	€153,270k, FY24	Further diligence	Explained by note 22
2	R10 · Weak EBITDA-to-cash conversion	€97,594k, FY23	Further diligence	Open
3	Other financial liabilities (to assess)	€48,897k, FY25	Further diligence	Explained by note 24
4	Other financial assets (to assess)	€39,262k, FY25	Further diligence	Explained by note 14
5	R04 · Material other income within EBITDA	€17,421k, FY25	Price: EBITDA	Partly explained by note 30

Ordered by amount at stake. Materiality: 5% of reported EBITDA for earnings items; 1% of revenue for balance sheet items (€7,049k and €8,610k). The implication is the typical treatment, for the deal team and its lawyers to decide.

Revenue fell 6.5% a year over the three years; EBITDA margin was 18.0% in FY23 and 16.4% in FY25

EUR k unless stated	FY23	FY24	FY25
Revenue	985,467	939,061	860,967
Reported EBITDA	176,985	157,566	140,983
EBITDA margin	18.0%	16.8%	16.4%
Cash conversion (operating cash / EBITDA)	14.9%	76.7%	155.3%
Adjusted net debt	248,013	203,909	83,638
Net working capital	557,763	543,919	443,570

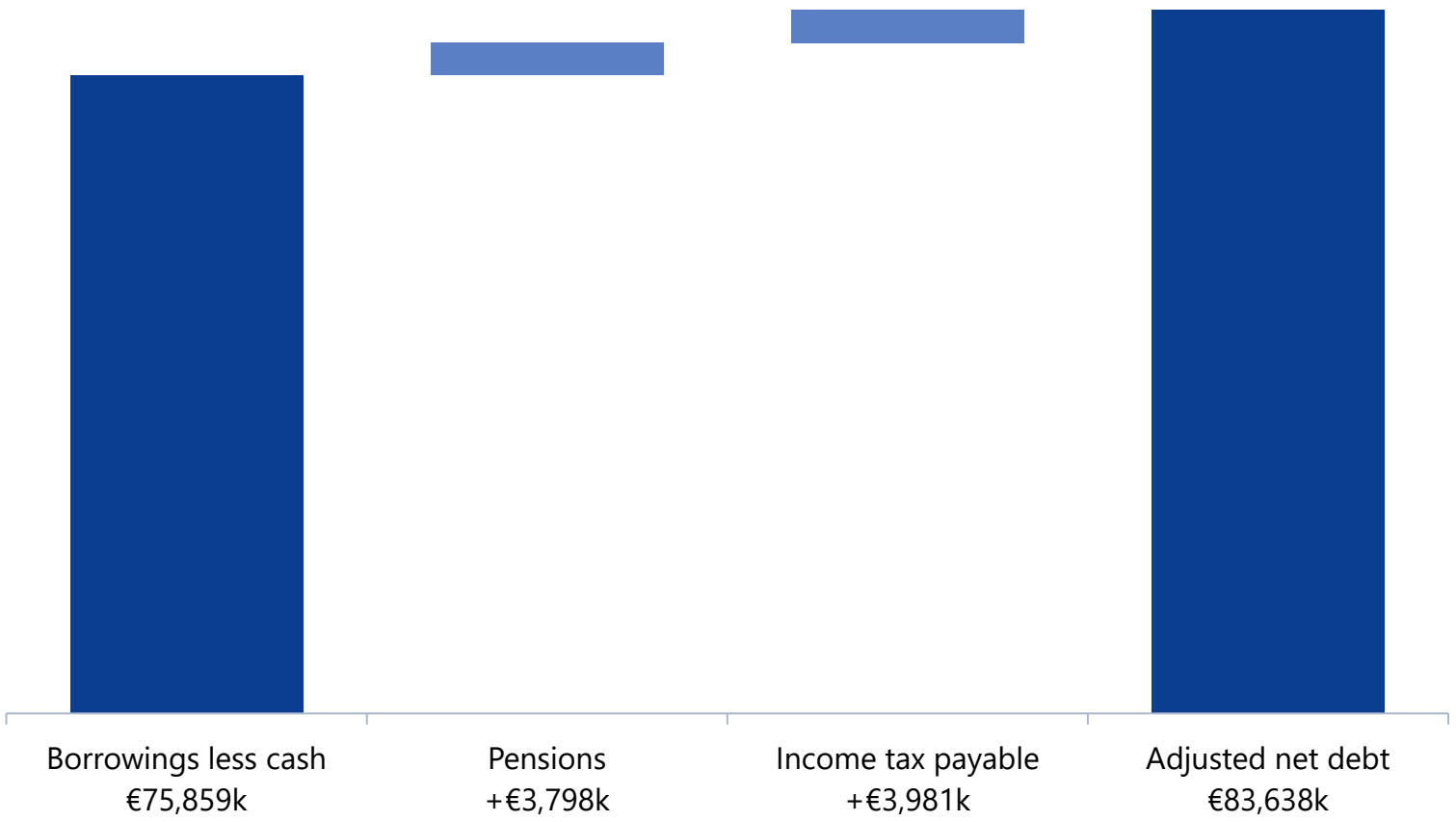
Reading checks: 4 of 4 published subtotals rebuilt from the lines read. Earlier years from the prior report; for the year both reports give, the latest comparative is used.

Reported EBITDA is €140,983k in FY25; no adjustment was identified from the accounts



FY25, EUR k. Other income is 12.4% of EBITDA (R04). Note 30 gives the other income of FY25 and ties to the statements (€17,421k); the largest lines are Outros €7,051k, Rendimentos suplementares €2,178k, Subsídios ao investimento €2,130k. The largest line is a residual the note does not break down.

Adjusted net debt is €83,638k (0.59x EBITDA), against borrowings less cash of €75,859k



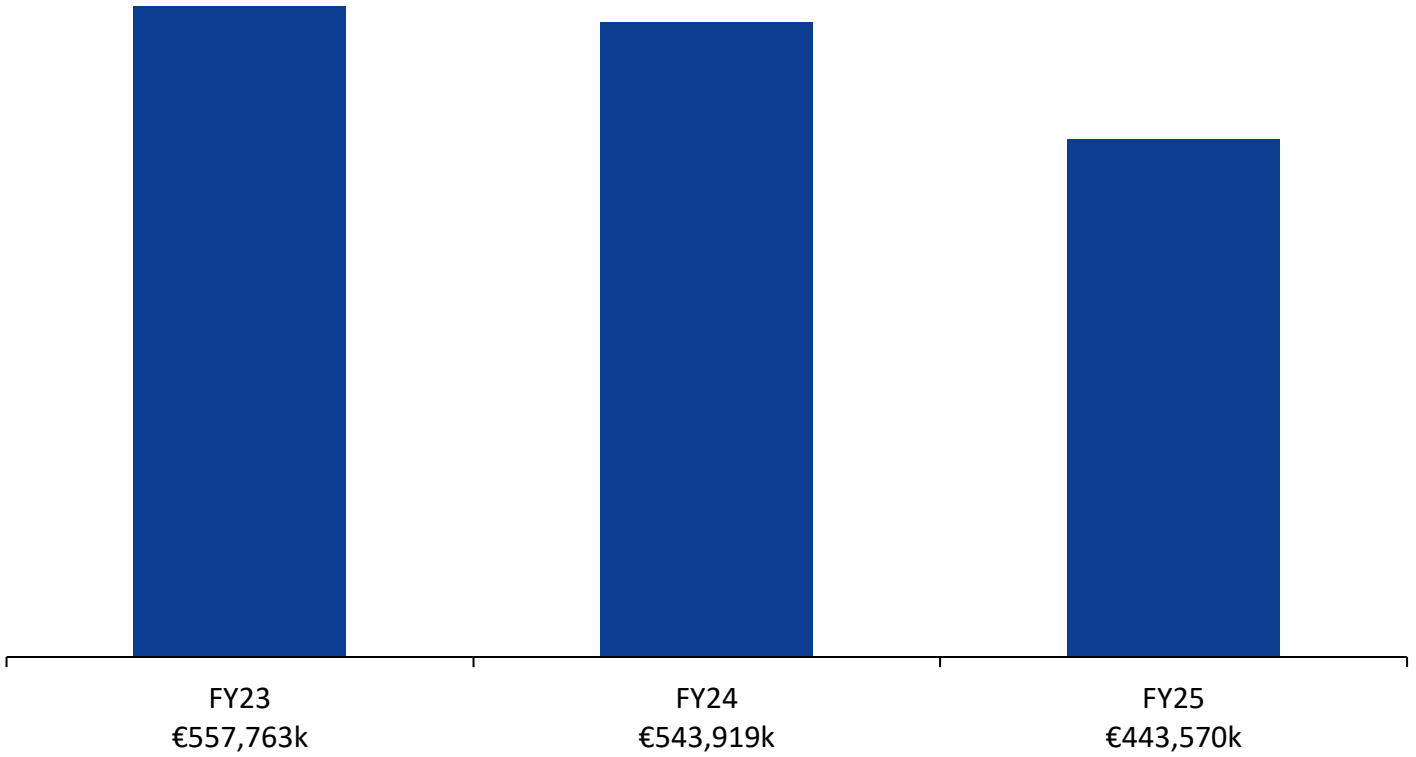
To assess (not in adjusted net debt)

Other financial liabilities: €48,897k (explained by note 24)

Other financial assets: €39,262k (explained by note 14)

Provisions: €3,539k (partly explained by note 25)

Net working capital is €443,570k, 51.5% of revenue; €71,514k below the average of the year-ends



What is inside, FY25

Inventories: €388,297k

Trade receivables: €175,804k

Trade payables: -€107,945k

Trade working capital: €456,156k

Other current assets: €57,290k

Other current liabilities: -€73,857k

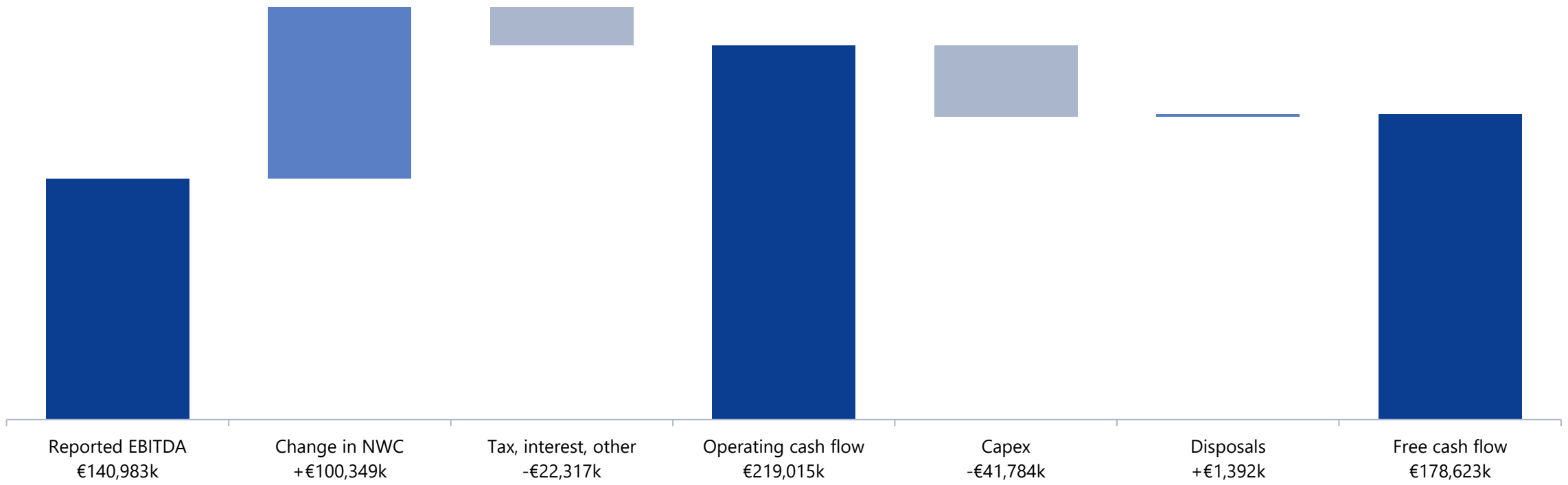
Excluded: Imposto sobre o rendimento (in net debt): €3,981k

Net working capital: €443,570k

Average of the year-ends: €515,084k (indicative peg reference only)

Year-end balances only. A peg is negotiated on 12 to 24 monthly balances.

Free cash flow of €178,623k exceeded EBITDA of €140,983k in FY25, as working capital was released



FY25, EUR k. The change in working capital comes from the two balance sheets; the remainder to the published operating cash flow is shown as its own bar.

10 priority requests: the level below what the public report already answers

#	Document or analysis to request	For
1	Facility agreements of the lines named in the note	R11
2	Covenant compliance certificates	R11
3	EBITDA-to-cash bridge	R10
4	Monthly working capital schedule	R10
5	Contracts behind the components named in the note (derivatives, grants, put options)	Other financial liabilities, Other financial assets
6	Ledger of the largest components of other income named in the note	R04
7	The contracts, grant decisions or sale agreements behind them	R04
8	Capex plan (maintenance vs growth)	R24
9	Fixed asset register and condition reports	R24
10	Schedule of income tax payable with supporting agreements	Income tax payable

Scope, sources and limits

Scope and sources

Consolidated accounts FY23–FY25: Relatório Anual 2025 (ESEF), consolidated statements and note 19.

Framework: IFRS as adopted by the EU (consolidated accounts; SNC is for individual accounts).

Sector: Materials & packaging. Purpose: preliminary buy-side review.

Notes to the accounts read: yes (Corticeira_Amorim_2025_notes.xlsx).

Reading checks: 4 of 4 passed.

Limits

Annual accounts only: no monthly figures, LTM or budget.

Euros only; financial due diligence only (no legal, tax, commercial or IT review).

A first pass for an analyst to review: no investment recommendation and no view on price.

Figures are computed by deterministic code from the published lines; each traces to its source cell.

Deal implications are typical treatments, for the deal team and its lawyers to decide.